- Basic Elements of Financial Statements; Assets, Expenses, Losses, Drawings, Owner's equity statements
- Transactions and its analysis
- Double Entry System and Accounting Equation.
- Explain accounts, journals, and ledgers as they relate to recording transactions and describe common accounts
- Define debits, credits, and normal account balances, and use double-entry accounting and T-accounts
- Rules for Debit and Credit, Accounting Equation
- Practical Problems of Accounting Equation.

Transaction:

A transaction is a completed agreement between a buyer and a seller to exchange goods, services, or financial assets in return for money.

Accounting transactions refer to any business activity that results in a direct effect on the financial status and financial statements of the business. Such transactions come in many forms, including Sales in cash and credit to customers.

Basic Elements of Financial Statements:

* **Assets:** Probable future economic events obtained or controlled by a particular entity as a result of past transactions or events.
* **Liabilities:** Probable future sacrifices of economic benefits arising from present obligations of a particular entity to transfer assets or provide services to other entities in the future as a result of past transactions or events.
* **Owner's Equity:** Residual interest in the assets of an entity that remains after deducting its liabilities.
* **Revenues:** Inflows or other enhancements of assets of an entity or settlement of its liabilities during a period from delivering or producing goods, rendering services, or other activities that constitute an entity's major, ongoing operations.
* **Expenses:** Outflows or other using up of assets or incurrence of liabilities during a period from delivering or producing goods, rendering services, or carrying out other activities that constitute the entity's ongoing, major or central operations.
* **Gains:** Increases in net equity from peripheral or incidental transactions of an entity and from all other transactions and other events and circumstances affecting the entity during a period except those that result from revenues or investments by owners.
* **Losses:** Decreases in equity from peripheral or incidental transactions of an entity and from all other transactions and other events and circumstances affecting the entity during a period except those that result from expenses or distributions to owners.

Account—the detailed record of all the changes that have occurred in a particular asset, liability, or stockholders' equity
- Journal—the chronological record of transactions
- Ledger—the book holding all the accounts with their balances

● Trial balance—the list of all the ledger accounts with their balances

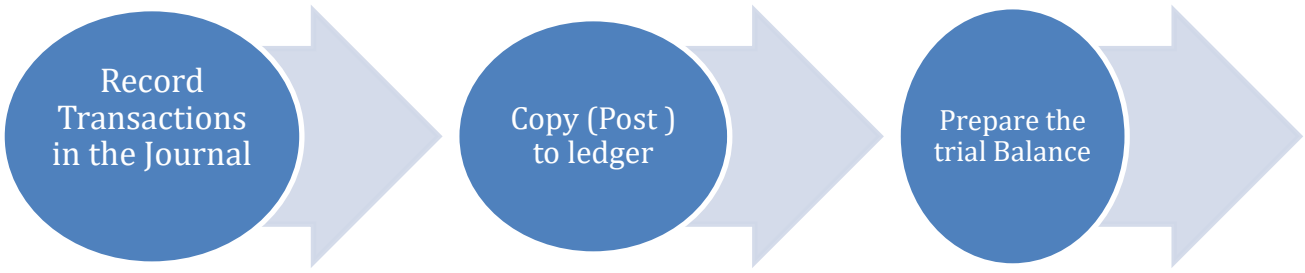


Diagram: Accounting Process

Double Entry System and Accounting Equation:

Double entry bookkeeping is a generally accepted system. This system was first described by Luca Pacioli in 1494. The system of double entry may be well compared to a scale, which must have equal weight on both sides in order that the scale is balanced. Thus, if the weight on one side of the scale is increased or decreased the same weight must be correspondingly added to, or removed from, the other side. A more common expression of double entry book keeping is the accounting equation.

The total assets of a firm are always equal to the total equities. This reflects the fundamental accounting equation of:

A=E

Where A denotes 'Assets' and E denotes 'Equities'

'Assets' are the goods and property, which the firm owns as well as claims against outsiders that the firm has not yet collected.

'Equities' are the claims against the assets and indicate the sources of the assets. The sources may be the owners themselves or outsiders. Due to the difference in the nature of these claims, equities are divided into the claims of the creditors and claims of the owners. Hence the fundamental equation can be explained as follows:

A=L + P

Where

A = Assets

L = Liabilities (Loan from outsiders i.e. Creditors)

P = Proprietorship or Capital or Owners Equity (Owners claims in the organization)

So the Accounting Equation is: **A=L+P**

Balance Sheet of an organization shows the financial position of an organization at a certain period of time. Accounting equation equates the financial position i.e. all the assets of an organization equals to the internal liabilities (Capital or Owners equity) and external liabilities (Creditors) of an organization.

Now we will explain what assets, liabilities are and owner's equity means:

Assets: Assets can generate income for an organization and the physical objects or services that have financial worth.

Types of assets:

1. **Physical /tangible assets:** Land, building, cash, motorcar etc. that we can see and have the physical existence.
2. **Right for receiving payment:** Accounts Receivable, Sundry Debtors, Notes Receivable, advances to employees.
3. **Right for receiving services:** Prepaid insurances, unexpired rates etc.
4. **Intangible assets:** Goodwill, patents etc that has no physical existence.

In another sense assets can be classified into two groups:

1. **Long-term assets:** Those assets that will give benefit more than one-year .For example: Land, Equipment etc.

2. **Short term assets /Current assets:** Those assets that will be matured within one year. For example: Cash, bank balance, Accounts receivable etc.

Liabilities:

-Claims in the assets by outsiders or creditors

-Obligation to pay for purchases

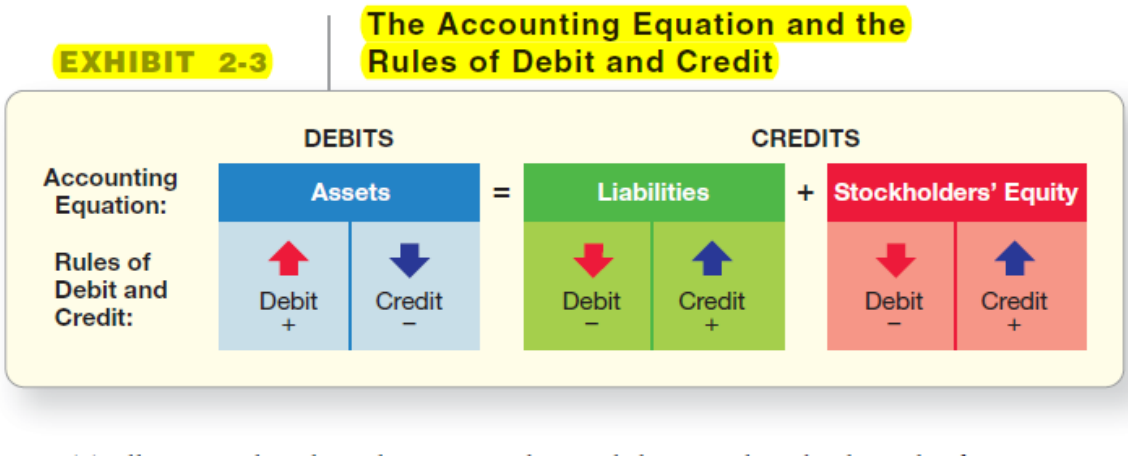
Liabilities can be classified into two groups:

1. **Short term /current liabilities:** Those liabilities that will have to pay with in one year. For example: Notes payable, accounts payable, salaries payable etc.
2. **Long team liabilities:** Those liabilities that we can avail for more than one year. For example: Debenture, Bond Payable, Mortgage payable etc.

Owner's Equity (O.E):

- The claims of owners from to organizations assets
- It can be said ***'Residual Claim'*** since at the time of termination of the organization the creditors are firstly paid and the remaining amount paid to the owners.

The Accounting Equation and Rules of Debit and Credit



The list below contains the transactions for the **Joan Miller advertising agency** during the month of January, 2003:

January 1: Joan Miller invested $10,000 in her own advertising agency

January 2: Rented an office, paying two months rent in advance $800

January 3: Hired a secretary and agreed to pay $600 every two weeks. The secretary agreed to work extra hours to make up the time for the first two days of January.

January 4: Purchased art equipment for $4200

January 5: Purchased office equipment from Morgan Equipment for $3000. Paying $1500 in cash and agreeing to pay the rest next month.

January 6: Purchased on credit art supplies for $1800 and office supplies for $800 from Taylor Supply co.

January 8: Paid $480 for a one-year insurance policy with coverage effective, January 1.

January 9: Paid Taylor Supply Co. $1000 of the amount owed.

January 10: Performed a service by placing advertisements for an automobile dealer in the Newspaper and collected a fee of $1400

January 12: Paid the secretary two weeks salary, $600

January 15: Accepted $1000 as an advance fee for artwork to be done for another agency, Ziko Co.

January 19: Performed a service by placing several major advertisements for ward department stores. The earned fees of $2800 will be collected next month.

January 25: Joan Miller withdrew $1400 from the business for personal living expenses.

January 26: Received (but did not pay) a telephone bill, $70.

You are requested to prepare a tabular analysis for Joan Miller advertising agency for the month of January '2003.

Solution:

Joan Miller advertising agency
January '2003
(All figures are in Tk.)

Date	Assets					=	Liabilities (+) Accounts Payable				O.E*
Jan.	Cash	Prepaid rent	Art equipment	Office equipment	Prepaid insurance	A/R*	Morgan Co.	Taylor Co.	Ziko Co.	Accrued T.B.	
1	(+) 10000										(+) 10000
2	(-) 800	(+) 800									
3	-	-	-	-	-	-	-	-	-	-	-
4	(-) 4200		(+) 4200								
5	(-) 1500			(+) 3000			(+) 1500				
6			(+) 1800	(+) 800				(+) 2600			
8	(-) 480				(+) 480						
9	(-) 1000							(-) 1000			
10	(+) 1400										(+) 1400
12	(-) 600										(-) 600
15	(+) 1000								(+) 1000		
19						(+) 2800					(+) 2800
25	(-) 1400										(-) 1400

26										(+) 70	(-) 70
Total	**2420**	**800**	**6000**	**3800**	**480**	**2800**	**1500**	**1600**	**1000**	**70**	**12130**

16,300 **16,300**

Relative discussion: *Now we will explain the above problem-*

Jan. 1: The owner starts his own business .It will increase the cash for the business and on the other hand will increase the capital for the business.
2: Rented an office for the business; paid in advance by the business. This will reduce the cash for the business. On the other hand rent paid in advance (any 'advance expense' treated as an 'asset' in accounting) will increase asset of the business in the name 'Prepaid rent'.
3:Hire a secretary is not any financial transaction for the organization. It will not be recorded in the books of accounts.
4:Purchased-art equipment will increase an asset for the organization and also decrease cash position for the organization.
5.Purchase-office equipment will increase asset for the organization .It will be recorded in the asset side in the column 'office equipment'. To purchase this 1500 cash is paid will reduce the cash position of the organization. Remaining 1500 will be given later on .So it will increase liability for the organization and will be recorded as Accounts payable (Morgan co.) in the liability side.
6:Purchase art supplies will increase asset of the organization. This purchase is done on credit .It will increase the liability.
8: Insurance is paid to cover the future risk. It is an advance payment. It is an asset for the business. This will be recorded as 'Prepaid insurance' in the asset side. On the other hand it will reduce the cash for the organization.
9: Payment is made to accounts payable (liability) will reduce the liability. On the other hand will reduce the cash.
10: The business provides service to its clients. It is an income for the business and will increase the owner's equity. On the other hand it will also increase e the cash position of the organization.
12:Payment is made in cash. It will reduce the cash position of the organization. Since it is an expense it will reduce the owners equity.
15:The firm accept an advance payment from a client although it did not provide any service to its clients. This will increase cash position as cash is increased. On the other hand this will increase liability for the business as any advance receipt is treated as a liability in accounting.

19:The business provides services to its clients. It is an income for the organization and will increase the owner's equity. On the other hand the payment will be collected in the next month. This will be recorded as an asset in the name 'Accounts Receivable' in the asset side.

25:The owner taken money from the business (Anything taken by the owner from the business is considered as 'Withdrawals or Drawings' and is treated an expense for the business). This will decrease the owner's equity. On the other hand, cash will be decreased as the owner takes cash.

26:It is an expense for the business and will reduce the owner's equity. On the other hand cash is not paid and it will increase the liability of the organization in the name of 'Accrued Telephone Bill'